

Taxation

an effective tax needs to be simple, efficient and equitable.

Besides raising revenue the taxation system plays an important role

In the redistribution of income from the wealthy to the poor

Influencing how resources are allocated among users

In regulating the economic fluctuations with the business cycle-fiscal policy-
automatic stabilisers- prevent a steep rise in prices/overheating- tax less

Impact- where the tax is levied or collected

Incidence where the burden of the tax falls or who pays the tax

The criteria against which any change to the tax system should be judged
comes down to efficiency and equity

A taxation that achieves equity, economy, certainty and convenience will help
improve the standard of living because it will efficiently provide revenue for the
government at minimal overall cost to taxpayers

A good tax system will feature both horizontal and vertical equity

Horizontal- Hence taxpayers who earn the same amount of income should pay
the same amount of taxation

Vertical- and taxpayers who have a greater ability to pay tax should pay higher
amounts of tax

System simplicity

All participants should be able to understand what taxes they are liable to
pay and how much they are liable to pay

The process of collection should be convenient as possible for both
taxpayers and collectors

Efficiency

Benefits of tax must outweigh the cost of collection

An economical tax must minimise excess burden which occurs if the tax
distorts the decision-making or operates in a discriminatory manner

Rational producers would produce a product that wasn't taxed rather than
one that was because sales revenue would be greater

This would mean that producers of non-taxed goods have an unfair advantage compared to producers of taxed goods.

Direct taxation Is collected from the taxpayers income so the incidence or direct tax fall on the same person

Indirect taxation excise tax, gst are collected from consumer spending on a wide range of products. The impact and incidence of indirect taxes fall on different people

An excise tax, the seller of the good pays the tax, but then passes it on to the consumer through higher prices

The seller collects the tax, but it is actually collected by the consumer

Three types of taxes

Progressive- the rate of tax increases as income rises- tax

Proportional- the rate of tax remains the same as income rises- constant proportion of income no matter what level has been earned. The best Australian example is company tax where all companies have to pay 30 percent-profit tax. below 10 million 27.5 percent

Regressive- the rate of tax falls as income rises- gst- if you earn more there is less of a burden- place a greater burden on lower income earners because they take a decreasing proportion of income as income increases

Specific tax- charged on the volume of sales regardless of price

Ad valorem- levied as a percentage of price